

LUXEMBOURG 2008

1. Overview of the system

A contributory unemployment insurance can be paid for maximal 365 days in a period of 24 months. A social assistance (Revenu Minimum Garanti) is available only for people over 25 or for families with children. These social assistance recipients can also receive a housing aid. Universal family benefits are paid to families with dependent children. The tax system is progressive and based on the family income.

1.1. Average worker wage (AW)

The 2008 AW earnings level is EUR 47036¹.

2. Unemployment insurance

2.1 Conditions for receipt

Unemployment insurance is compulsory. The claimant has to be registered at the employment exchange, and to be available and fit for work. It is available for people aged between 16 and 64. Moreover, the claimant needs to be resident in Luxembourg.

The loss of the job must be involuntary.

2.1.1 Employment conditions

The claimant must have been employed for 26 weeks in the 12 months preceding unemployment at least for 16 hours a week.

1. AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2005-2006, OECD, 2007, part 5, sections 2 and 3.

SM fait référence au Salaire Moyen estimé par le Centre de politique et d'administration fiscales (www.oecd.org/ctp). Pour plus d'informations sur la méthodologie, consulter Les impôts sur les salaires 2005-2006, OCDE, 2007, partie 5, sections 2 et 3.

If rights to unemployment benefits are exhausted, right opens once again after a period of 12 months which follows the end of rights if the condition of 26 weeks employment in that period is once again fulfilled.

2.1.2 Contribution conditions

The claimant must have been employed for 26 weeks in the 12 months preceding unemployment.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

A benefit of 80 per cent of the average wage during the three months immediately preceding unemployment is increased to 85 per cent if the beneficiary has dependent children. The maximum benefit level amounts to 250 per cent of the social minimum reference salary for the first six months, 200 per cent afterwards. The social minimum reference salary is EUR 1 609,53 per month (EUR 19 314,36 per year). Income and earnings disregards

The benefit is not income tested any more.

Income from accessory work is compatible with the unemployment benefit as long as it does not exceed 10% of reference salary (3 months are taken for reference salary computation). If the income is higher than 10% of reference salary, the amount in excess is deducted from the benefit.

2.3 Tax treatment of benefit

Unemployment benefits are taxable. The tax base is the same as that for earned income, including the work related expenses allowance. Social contributions are due for health care, long term care and for pensions (old age, disability and survivors) (see section 10.3).

2.4 Benefit duration

The benefit is allocated during an equivalent period of time (calculated in months) as the working period fulfilled during the reference period taking in account for opening the right to unemployment allowance. The maximum benefit period is 365 calendar days in a 24-month period. The benefit is paid from the first day of unemployment; there is no waiting period.

2.5 Treatment of particular groups

2.5.1 Young persons

Unemployed under 21 with completed education or less than 26 working weeks in the last 12 months are eligible for a benefit amounting up to 70 per cent of the minimum wage. The benefit for unemployed without completed education under 18 years of age (16-17 years) is 40 per cent of the minimum reference wage. The benefit is payable for 365 days (7 days per week) after a waiting period of 26 weeks (completed education period of 9 years at least) or 39 weeks. The minimum reference wage for workers was EUR 1 609.53 per month from the 1st march 2008 on .

2.5.2 Older workers

Unemployed 50 years old and more qualify for prolongation of the benefit period by 12, 9 or 6 months if the contribution period is 30, 25 or 20 years respectively (with a threshold of 150% of the minimum wage).

After 55 years of age, a prolongation of 6 months is granted without special conditions

After 57 years of age, early retirement is possible.

2.5.3 Disabled workers

Unemployed aged between 16 and 49 years old qualify for prolongation of the benefit period by 6 months if the degree of disability is 30% at least. After 50 years of age, the additional 6 months are granted if the person has a disability of 15 % at least.

2.5.4 Self-employed

Self-employed job-seekers must have worked as self-employed during six months at least before inscription as job-seeker and give proof of an obligatory affiliation to the social security of Luxembourg (as wage earner or independent) of 2 years at least.

3. Unemployment assistance (*Aides à la recherche d'emploi*)

Les aides destinées surtout aux demandeurs d'emploi sont:

3.1. Aide au réemploi

Le fonds pour l'emploi peut accorder une aide au réemploi en cas de reclassement dans un emploi comportant un niveau de rémunération inférieur à la rémunération antérieure.

3.1.1. Conditions for receipt

L'aide est accordée

- au salarié parti volontairement,
 - lorsque le chef d'entreprise a engagé les procédures de notification et de consultation concernant les licenciements collectifs;
 - lorsque l'entreprise a sollicité et obtenu l'application du régime d'indemnisation du chômage partiel;
 - lorsque l'entreprise se trouve placée sous le régime de la gestion contrôlée;
 - lorsque l'entreprise se trouve en voie de liquidation.
- au salarié licencié
 - dans le cadre de mesures de redressement, de réorganisation ou de restructuration de l'entreprise;
 - en cas de déclaration en état de faillite de l'employeur;
 - en cas d'incapacité physique ou de décès de l'employeur.

- au chômeur indemnisé
- au travailleur frontalier ayant perdu son emploi, soit en raison d'un départ volontaire dans les cas énumérés ci-haut, soit en raison d'un licenciement dans le cadre de mesures de redressement, de réorganisation ou de restructuration de l'entreprise et qui est reclassé dans un emploi se situant sur le territoire du Grand-Duché de Luxembourg.

Le **contrat de travail** doit remplir les conditions suivantes:

- contrat à durée indéterminée;
- contrat à durée déterminée pour 18 mois minimum;
- remplacement d'un congé parental.

3.1.2. Calculation of benefit amount

En cas de reclassement dans un emploi comportant un niveau de rémunération inférieur à la rémunération antérieure, l'aide au réemploi a pour but de garantir au bénéficiaire (salarié), compte tenu de la nouvelle rémunération perçue, une rémunération égale à 90 % de la rémunération antérieure, plafonnée à 350% du salaire social minimum.

Tax treatment of benefit and interaction with other benefits
Taxable

3.1.3. Benefit duration

L'aide au réemploi est due pendant une durée de 4 ans.

3.2. Aide à la création d'entreprise

Une aide à la création ou la reprise d'une entreprise légalement établie au Luxembourg et y exerçant ses activités peut être accordée par le Ministre du travail et de l'emploi aux demandeurs d'emploi sans emploi.

3.2.1. Conditions for receipt

Peuvent bénéficier de cette aide:

- les chômeurs indemnisés depuis 3 mois au moins et âgés de 40 ans accomplis;
- les chômeurs indemnisés depuis 6 mois au moins;
- les demandeurs d'emploi inscrits à l'ADEM depuis 8 mois au moins et ayant accompli une carrière professionnelle de 6 ans au moins au Luxembourg, à condition que la dernière occupation ait été antérieure de moins de 3 mois à l'inscription comme demandeur d'emploi auprès de l'ADEM.

3.2.2. Calculation of benefit amount

L'aide correspond au montant capitalisé des indemnités de chômage complet auxquelles le demandeur aurait droit lors des 6 premiers mois qui suivent la prise de l'activité.

3.2.3. Tax treatment of benefit and interaction with other benefits

Taxable

3.2.4. Benefit duration

Montant unique

3.3. Aide à la mobilité géographique des demandeurs d'emploi

Le fonds pour l'emploi peut accorder une indemnité pour frais de déplacement dans le cas où le bénéficiaire réside en territoire luxembourgeois et est reclassé dans un emploi durable en territoire luxembourgeois à une distance supérieure à 15 km du lieu de sa résidence habituelle.

3.3.1. Conditions for receipt

L'aide est accordée aux personnes qui:

- sont demandeurs d'emploi;
- ont leur résidence en territoire luxembourgeois;
- sont inscrits depuis au moins 3 mois auprès de l'ADEM;
- sont reclassés dans un emploi durable en territoire luxembourgeois.

3.3.2. Calculation of benefit amount

Kilomètres parcourus	Indemnité
de 16 à 20 km	61,97 €
de 21 à 30 km	74,37 €
de 31 à 40 km	99,16 €
de 41 à 50 km	123,95 €
supérieur à 50 km	136,34 €

3.3.3. Tax treatment of benefit and interaction with other benefits

Taxable

3.3.4. Benefit duration

L'indemnité pour frais de déplacement est accordée pendant une période de 18 mois au maximum.

3.4. Stage de réinsertion professionnelle

3.4.1. Conditions for receipt

Demandeur d'emploi indemnisé ou non, âgé de 30 ans au moins et inscrit depuis 3 mois au moins.

3.4.2. Calculation of benefit amount

Le demandeur d'emploi non indemnisé touche une indemnité de stage équivalente au salaire social minimum pour travailleur non qualifié. Cette indemnité est à charge du fonds pour l'emploi.

Le demandeur d'emploi indemnisé garde en principe le bénéfice de son indemnité de chômage complet.

Exception pour le chômeur dont l'indemnité de chômage est inférieure au salaire social minimum pour travailleur non qualifié, l'ADEM arrête le paiement de chômage et le stagiaire touche le salaire social minimum pour travailleur non qualifié.

Ce stage est pris en compte comme période de stage ouvrant droit à l'indemnité de chômage complet et donne droit à la prolongation de 6 mois de l'indemnité de chômage complet.

L'entreprise peut verser au stagiaire une prime de mérite facultative qui ne peut être prise en compte pour le calcul de l'indemnité de chômage complet.

Le stagiaire est dispensé de se présenter au contrôle, mais reste disponible pour le marché de travail.

3.4.3. Tax treatment of benefit and interaction with other benefits

Taxable

3.4.4. Benefit duration

L'ADEM détache le stagiaire auprès du patron de stage pour 12 mois maximum.

3.5. Contrat d'appui-emploi

L'objectif de ce type de contrat est d'offrir au jeune demandeur d'emploi de moins de trente ans accomplis une initiation et/ou une formation pratique et théorique en vue d'augmenter ses compétences et de faciliter son intégration voire sa réintégration sur le marché du travail. Sont visés les promoteurs n'ayant pas la forme juridique d'une société commerciale au sens de la loi modifiée du 10 août 1915 concernant les sociétés commerciales.

3.5.1. Conditions for receipt

- être âgé de moins de 30 ans accomplis;
- être inscrit depuis au moins un mois à l'ADEM ;
- être bénéficiaire d'une convention d'activation proposée par l'ADEM.

3.5.2. Calculation of benefit amount

Le jeune demandeur d'emploi bénéficiaire d'un CAE touche une indemnité égale à quatre-vingts pour cent du salaire social minimum qui lui reviendrait en cas d'occupation comme travailleur non qualifié.

3.5.3. Tax treatment of benefit and interaction with other benefits

Taxable

3.5.4. Benefit duration

La durée totale du CAE ne peut dépasser neuf mois (durée minimum : trois mois). La durée hebdomadaire est limitée à trente-deux heures.

3.6. Contrat d'initiation à l'emploi

Ce contrat, réservé aux promoteurs qui peuvent offrir au jeune demandeur d'emploi une réelle perspective d'emploi à la fin du contrat, a pour finalité d'assurer au jeune pendant les heures de travail une formation pratique facilitant l'intégration sur le marché du travail.

3.6.1. Conditions for receipt

être âgé de moins de 30 ans accomplis;

3.6.2. Calculation of benefit amount

L'indemnité est fixée à 80% du salaire social minimum pour travailleurs non qualifiés. Une prime de mérite peut être versée par le promoteur.

3.6.3. Tax treatment of benefit and interaction with other benefits

Taxable

3.6.4. Benefit duration

Le contrat est conclu pour une durée de douze mois (prolongation possible de 12 mois par le Ministre du Travail dans le cas d'une formation qualifiante ou d'une formation pratique prévue par une convention collective déclarée d'obligation générale)..

4. Social assistance

The main element is the *Guaranteed Minimum Income* (RMG, guaranteed minimum income).

The RMG consist in granting

- either an “indemnité d'insertion”(integration benefit),
- or an “allocation complémentaire” (complementary benefit),
- or an “indemnité d'insertion” and an “allocation complémentaire”.

4.1 Conditions for receipt

Each person aged between 25 and 60 years who is able to work full-time has to apply for an “indemnité d'insertion”. The “indemnité d'insertion” is a gross income either paid for

- the preparation and assisted search for a paid work,
- community service work in the public sector,
- a professional training in the private sector.

People raising children, in charge of a dependent person or unable to work full-time may benefit of a reduction of the working hours.

The “allocation complémentaire” is intended to complete the difference between the maximum of the RMG due according to the family type (see section 4.2.1.) and the gross income of the family.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The gross amount of the “indemnité d’insertion” is equivalent to the hourly rate of the minimum wage multiplied by the number of hours the person has to supply. The minimum wage in 2008 is EUR 1 609.53 per month, for a full-time job (40 hours a week/173 hours a month).

The amount of the “allocation complémentaire” is the difference between the RMG below and the amount defined in section 4.2.2.

Family type	RMG (EUR per month) 1 July 2008	Percentage of first adult payment
	1	
First adult	146.50	100
Second adult	573,28	50
Supplementary adult	328,00	28.6
Child supplement	104,29	9,1
Impotency supplement,*)	611.45	53,3

*) the impotency supplement is stopped when the person starts receiving long term care benefits. Overtime the impotency supplement is replaced completely by long term care benefits.

4.2.2 Income and earnings disregards

Gross income from whatever source is included in the income test, but an amount of 30 per cent of the RMG by family type is disregarded. Family benefits are not considered as income for the social assistance means test.

In practice 130 % of RMG (according to family type) is the income test limit. The “allocation complémentaire” which is a complement to the personal gross income is due as long as a person is eligible for granting for the RMG. No assistance is paid once the 130% limit is passed.

4.3 Tax treatment of benefit

Taxable. Full social security contributions are payable with the “indemnité d’insertion” whereas for the “allocation complémentaire” in general only the sickness contributions and long term care contributions are payable. Pensions contributions are paid by the “Fonds National de solidarité” for those beneficiaries of an “allocation complémentaire” who have already a period of insurance of at least 25 years in the general pension scheme. The difference between the social minimum reference salary and the beneficiary’s professional income is the taxes base.

4.4 Benefit duration

The “allocation complémentaire” stops as soon as gross income of the household exceeds 130% of RMG.

The contract of the “indemnité d’insertion” is not renewed if gross income exceeds 130% of RMG.

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

People under 25 do not qualify unless they have dependent children, are responsible for a dependent person or unable to work.

4.5.2 *Older workers*

Old age workers over 60 years do not need to be available for the labour market any longer. Their revenue is totally based on the “allocation complémentaire”.

5. *Housing benefits*

5.1 *Conditions for receipt*

To be receiving social assistance.

5.2 *Calculation of benefit amount*

It is included in the “allocation complémentaire”. The income test limit of the RMG according to family type is raised by the amount of the difference between the rent and 10 per cent of the predefined income test limit. Maximum payments are EUR 123,95 per month.

In practice, the maximum is always applicable.

Sickness contribution and long term care contribution are payable.

5.3 *Allocation de chauffage.*

The Fonds National de Solidarité will grant on demand for the year 2008 a heating allowance for every resident in Luxembourg, as long as the annual gross income of the family type does not exceed the limits fixed below :

The annual gross income limits for 2008 are fixed as :

- 18 843.89 euros for single person
- 28 269.17 euros for a family type of 2 persons
- 33 650.28 pour for a family type of 3 persons
- 39 031.38 euros for a family type of 4 persons
- 44 506.07 euros for a family type of 5 persons and more.

The heating allowance for 2008 is fixed as :

- 660 euros for a single person
- 825 for a family type of 2 persons
- 990 euros for a family type of 3 persons
- 1 155 euros for a family type of 4 persons
- 1 320 euros for a family type of 5 persons and more.

In case the above gross income limit is exceeded, the benefit of a reduced heating allowance is possible. This rule didn't change in the last years.

The **monthly** gross income limits for 2008 for the reduced heating allowance are fixed as :

- 1.570,33 - 1.625,31 euros for single person
- 2.355,77 - 2.424,50 euros for a family type of 2 persons
- 2.804,20 - 2.886,68 euros for a family type of 3 persons
- 3.252,62 - 3.348,85 euros for a family type of 4 persons
- 3.708,85 - 3.818,83 euros for a family type of 5 persons and more.

Calculation method:

The heating allowance will be reduced by the equivalent amount exceeding the fixed income limits.

Ex:

yearly heating allowance: $660/(12)$ euro = 55 euro monthly.

Monthly income: 1 600 euros ($1\ 600 - 1\ 570.32 = 29.68$) reduced monthly allowance will be : $55 - 29.68 = 25.32$

Reduced heating allowance for 2008 will be 303.84 euros ($25.32 * 12 = 303.84$)

The heating allowance is tax and Sickness contribution and long term care contribution free.

6. Family benefits

6.1 Conditions for receipt

Family benefits are paid only to families with dependent children under 18 (or under 27 if still in education).

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Family size	Rate (EUR per month) 1 July 2008
One child	185,60
Two children	440,72
Three children	802,74
Supplement per child from the fourth one	361,82
Supplement per child aged 6-11	16,17
Supplement per child 12+	48,52

6.2.2 Allocation de rentrée scolaire.

Luxembourg also pays a schooling expense allowance in August of each year for all children aged six and older. The level of the allowance varies according to the number of children in the household.

For one child over age six, the allowance is 113,15 Euros and 161,67 Euros for a child age 12 or older.

For two children, the allowance is 194,02 Euros for a child 6-12 years old and 242,47 Euros for a child 12 or older.

In families with three or more children, 274,82 Euros is paid for each child 6-12 years, and 323,34 Euros for each child over age 12 .

Les exemples:

- ☐ Couple avec 1 enfant de 4 ans: 0 eur
- ☐ Couple avec 1 enfant de 8 ans : 113.15 eur
- ☐ Couple avec 1 enfant de 13 ans: 161,67 eur
- ☐ **Couple avec 2 enfants : 4 et 6 ans: 194.02 eur**
- ☐ Couple avec 2 enfants : 6 et 8 ans: 194.02+194.02eur
- ☐ Couple avec 2 enfants : 6 et 13 ans: 194.02+242.47 eur
- ☐ Couple avec 3 enfants : 4 et 6 et 13 ans: 274.82+323.34 eur.

6.2.3 Income and earnings disregards

Not means-tested.

6.3 Tax treatment of benefit

Family benefits are not taxable.

6.3.1 "Boni pour enfant"

A partir de 2008, chaque famille soumise à l'impôt au Luxembourg qui est bénéficiaire d'allocations familiales a droit à une nouvelle prestation, appelée "boni pour enfant". Le boni représente une "bonification d'office", en d'autres termes une attribution automatique, sous forme de prestation, de la modération d'impôt pour enfant, déduite jusqu'ici de l'impôt à payer, et a le double caractère d'une mesure

fiscale et d'une prestation familiale. Il est également attribué aux familles qui n'ont pas pu profiter de la modération d'impôt dans le passé. (voir 10.1.1. Children tax credit) En 2008, le boni est versé en une seule fois pour toute l'année. Le montant est fixé à 922,50 Euro par enfant.

6.4 *Treatment of particular groups*

None.

7. Garde d'enfant pour les enfants d'âge préscolaire / Childcare for pre-school children

L'école est obligatoire à partir de 4 ans. L'éducation précoce est introduite progressivement dans les communes depuis 1998 et s'adresse aux enfants âgés de 3 ans révolus. La fréquentation en est facultative et gratuite pour les parents.

Pour l'année scolaire 2006-2007, 3671 enfants sont inscrits à l'éducation précoce (estimation).

Hors accueil des enfants âgés de 3 à 4 ans à l'enseignement précoce, on peut estimer que 15% des enfants âgés de moins de 4 ans sont accueillis de jours hors de leur domicile. La part des enfants gardés à domicile est difficile à estimer, puisque la loi ne prévoit qu'un agrément pour les personnes qui gardent plus que 3 enfants. En outre, ce taux ne tient pas compte des enfants qui sont gardés à domicile par le personnel domestique.

7.1 *Out-of-pocket childcare fees paid by parents*

In private, not state subsidized day care centers, parents pay a fixed fee in a range going from 750 € to 1000 € per month. In family care, the fee is approximately 250€ to 850 € per month.

Besides these non subsidized day care solutions, there are childcare centers that are run and funded by the municipalities or run by non profit organizations and funded by the state. In these centers, the parents pay a percentage of the costs according to the number of children they have and according to their financial situation. The costs for daycare of children below schoolage have been estimated at an average of 1435 € for 2008. A flat reduction of 12 % is deducted for absence, which leaves a fee of 1262 € per month. The costs for daycare of schoolaged children have been estimated at an average of 1174 € for 2008. A flat reduction of 12 % is deducted for absence, which leaves a fee of 1033 € per month. Childcare fees are tax deductible as far as they are higher than an amount of expenses not considered as extraordinary according to the level of income.

The social department of the ministry of Family and Integration helps financially parents that are in a seriously bad financial situation.

7.2 *Allocations de garde d'enfant / Child-care benefits*

Il n'existe pas d'allocations en espèces reçues par les parents dont les enfants sont inscrits dans un système de garde d'enfant.

8. Employment-conditional benefits

8.1 *parental leave, introduced from 1 January 1999.*

8.1.1 *Conditions of receipt*

The Law of 12 February 1999 creates an individual (and non-transferable) entitlement to take six months parental leave full-time or 12 months half-time for any parent raising a child under five at home. The parent must have been working without interruption for at least 20 hours/week for the same employer in the year preceding the child's birth immediately. The employment contract is simply interrupted, with the worker returning to his job once the period of parental leave has elapsed.

8.1.2 *Calculation of benefit amount*

8.1.2.1 Calculation of gross benefit

- 100 per cent: EUR 1 778,31 per month.
- 50 per cent: EUR 889,15 per month.

8.1.2.2 Income and earnings disregards

None.

8.1.3 *Tax treatment of benefit*

- Not taxable. The sickness and the long term care contributions are payable whereas the old age contribution is financed by the State.

9. Lone-parent benefits

There are no lone parent benefits, but lone parents can obtain a EUR 1 920 tax allowance (see section 10).

10. Tax system

Luxembourg has a progressive tax scheme with 17 rates varying between 0 and 38 per cent in 2003. Tax calculation is based on the splitting method.

10.1 *Income tax rate schedule*

10.1.1 *Tax allowances and credits*

Tax allowances:

- Professional expenses are deductible with a minimum of EUR 540. This minimum is deductible by default if there are not greater expenses. For income from RMG (SA), the tax allowance on professional expenses amounts to EUR 300. Someone who is receiving SA and is working at the same time, is eligible for the tax allowances of EUR 540 and 300. In this case, the total tax

allowance amounts to EUR 840. However, the amount of each tax allowance cannot exceed the amount of the related income.

- Employee's travel expenses (to go to work) are deductible with a minimum of EUR 396 and a maximum of EUR 2 970 (the minimum amount is applied here).
- General deductions are possible at EUR 480.
- Salaried employees' have a special deduction at EUR 600.
- Social security contributions are deductible in their entirety, except long term care insurance.
- If both members of the couple are employees they have an extra professional allowance of EUR 4 500.
- Lone parents can obtain a EUR 1 920 deduction of their taxable income.
- The taxpayer obtains, on request, an abatement on the taxable income for child care expenses (abatement for inevitable extraordinary charges). The amount of the abatement corresponds to the part of the extraordinary charges exceeding the following percentages of taxable income.

Taxable income (EUR per year)	Number of children				
	1	2	3	4	5
< 10 000	0	0	0	0	0
10 000 – 20 000	0	0	0	0	0
20 000 – 30 000	2	0	0	0	0
30 000 – 40 000	4	2	0	0	0
40 000 – 50 000	5	3	1	0	0
50 000 – 60 000	6	4	2	0	0
> 60 000	7	5	3	1	0

- The taxpayer can also obtain a standard abatement for childminding expenses of EUR 3 600 per year. In this case the taxpayer has to renounce to the abatement for inevitable extraordinary charges for child care expenses. The standard abatement cannot exceed the amount of the real expenses nor EUR 300 per month.

Tax credits:

- As from 1 January 2008 the income tax liability of a taxpayer with a dependent child is no more reduced by EUR 900 per child, up to the total amount of tax due. This child tax credit is paid out by the National Family Benefits Administration. This implies that specific tax classes for taxpayers with dependent children are abolished.

10.1.2 The definition of taxable income

The definition depends on family type, see section 10.1.3.

Taxable income is rounded to the nearest lower multiple of EUR 50 before applying the tax schedule.

10.1.3 The tax schedule

Tax brackets have been linearly increased by 6 % as from 1 January 2008

Income tax is determined on the basis of the following schedule (amounts in euros):

0 % for the portion of income less than	10335		
8 % for the portion of income between	10	an	12
	335,00	d	084,00
10 % for the portion of income between	12	an	13
	084,00	d	833,00
12 % for the portion of income between	13	an	15
	833,00	d	582,00
14 % for the portion of income between	15	an	17
	582,00	d	331,00
16 % for the portion of income between	17	an	19
	331,00	d	080,00
18 % for the portion of income between	19	an	20
	080,00	d	829,00
20 % for the portion of income between	20	an	22
	829,00	d	578,00
22 % for the portion of income between	22	an	24
	578,00	d	327,00
24 % for the portion of income between	24	an	26
	327,00	d	076,00
26 % for the portion of income between	26	an	27
	076,00	d	825,00
28 % for the portion of income between	27	an	29
	825,00	d	574,00

- Single persons' taxable income is taxed directly using the schedule.
- For couples taxable income is first halved. The tax liability is then calculated as for single persons, but the tax actually paid is double this amount (tax class 2).
- For lone parents the taxable income is reduced with 50 per cent of its complement to EUR 41 340, insofar as the marginal tax rate does not exceed 38 per cent (tax class 1a).

- Note that there is a 2,5 per cent surtax on central government income tax liability, but no local tax is paid by the worker.

10.2 Treatment of family income

The tax unit is the family.

10.3 Social security contribution schedule

Employees pay 2,80/5,05 (workers) per cent sickness and 8 per cent age pension scheme contributions on their gross earnings between EUR 1 570,28 per month (EUR 18 843,36 per year) and EUR 7 851,40 per month (EUR 94 216,80 per year). For replacement earnings, sickness insurance contribution rate is 2,70 per cent². Long term care insurance is financed by special contribution of 1,4 per cent levied on professional earnings, replacement earnings and income from property (an amount of 1/4 of the social minimum reference salary is not taken into account for (EUR 392,57) .

Compulsory social security contributions to schemes operated within the government sector

	Employer's share (%)		Employee's share (%)		Ceiling on contributions (in euros)
	worker ³	employee	worker	employee	
a) Pension and disability insurance		8		8	(7 851.4 x 12 =) 94 216.8
b) Health insurance	5.05	2.8	5.05	2.8	Same ceilings as a)
c) Dependency insurance				1.4	Monthly allowance:
d) Health in the workplace		0.11			392.57*
e) Accident insurance					Rate varies according to the probability of accidents (0.6 - 6) ⁴

² Le taux de cotisation pour l'assurance maladie se compose d'un taux pour prestations en nature identique pour tous les assurés (5,40 % en 2007, c. à d. 2,70 % part assuré et 2,70 % part patronale). Pour les salariés ayant droit à des prestations en espèces (indemnités pécuniaires de maladie) une majoration de ce taux est pratiquée. Pour les salariés bénéficiant en cas de maladie de la continuation légale ou conventionnelle de la rémunération pendant le mois en cours et les trois mois suivants la majoration est de 0,20% (0,10% part assuré et 0,10% part patronale) tandis que pour les salariés ne bénéficiant pas de la continuation de la rémunération en cas de maladie le taux est majoré de 4,70% (2,35 % part assuré et 2,35 % part patronale) ce qui nous amène à une cotisation totale assurance maladie part assuré de 5,05 %. Ce taux est applicable pour le calcul des charges du travailleur (APW), mais pour calculer la charge en cotisation du bénéficiaire de chômage ainsi que du bénéficiaire RMG le taux pour prestations en nature (2,70 %) est applicable. (message électronique du 27 octobre 2003, Astrid Breyer)

⁴ For accident insurance, the employer's share is assumed to be 0.86%.

(Monthly allowance: EUR 392.57 = 0.25 social minimum salary / 12)

³ SSC rates for employees (rather than workers) are used in the modelling.

The unemployment insurance scheme is financed through a 2,5 per cent surtax on central government income tax liability.

11. Part-time work

11.1 *Special benefit rules for part-time work*

Unemployment insurance benefits are reduced if part-time earnings exceed a certain percentage of the social minimum wage. Part of the earnings from part-time employment are disregarded in the social assistance means test for a period of 2 years.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

12.1 *Policy changes introduced during 2008*

Boni pour enfant (Loi du 21.12.2007)

12.2 *Policy changes announced in 2008*

Introduction d'un statut unique (unification of the working conditions of white and blue collar workers) pour les salariés du secteur privé (loi du 13 mai 2008) applicable à partir du 1er janvier 2009

Introduction du système du chèque-service, qui donne droit à une série de services dans le domaine de l'accueil éducatif extrascolaire.